

Q & A

“OPTIMISTIC OF A PICK-UP IN PRIVATE INVESTMENT”

Saugata Bhattacharya, external member of the Monetary Policy Committee of the RBI and Senior Fellow at the Centre for Policy Research on the state of India's economy

BY SURABHI

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SAUGATA BHATTACHARYA, who is an external member of the Monetary Policy Committee of the Reserve Bank of India and Senior Fellow at the Centre for Policy Research (CPR), believes that trends in various commodities groups suggest optimism on inflationary pressures. In an interview to *Business*

►►► **The MPC has cut rates twice this year in February and April and has an accommodative stance. Is there space for further rate cuts, as is being factored by the markets?**

At the outset, let me emphasise that I am speaking only for myself and these are my personal opinions. Yes, given fore-

mean for the world economy?
There is extreme uncertainty, and with the contours of trade alignment remaining fluid, it is difficult to even remotely predict an equilibrium state. Supply chains are dislocated again and we can only surmise alternative scenarios over the next six months of a changed global economic

been slowing, and the RBI expects the economy to grow by 6.5% this fiscal. Do you think the economy could slow further given the concerns around the US trade policies?

Macro-financial uncertainty remains elevated, including the future rate decisions of global central banks. It is difficult to predict the path of economic activity, but current negotiations between major economic players suggest that the impact on economic growth will be less severe, at least in the short run, than earlier anticipated. Incoming high frequency data also suggest that global activity remains resilient.

“EVEN IF A HOT SUMMER INCREASES VEGETABLES PRICES, THERE IS ROOM FOR HEADLINE INFLATION TO REMAIN DURABLY CLOSE TO 4%”

Today, he says that there is space for further repo rate cuts given the inflation forecast and notes that the real repo rate remains restrictive. The RBI has already cut the repo rate twice this year following the February and April MPC meetings. Edited excerpts:

cast inflation, the real repo rate continues to remain restrictive, and the present inflation-growth balance is tilted towards the need to support growth.

►►► **What does the ongoing trade war between China and the US**

order, both institutional and bilateral. Overall, in line with the latest IMF and other multilateral forecasts, this is likely to be somewhat adverse for global economic and trade growth.

►►► **Domestic growth has**

►►► **India Inc seems to be cautious of investments again. Will a cut in interest rates prod them to invest?**

A policy repo rate cut will help small industry (micro and small enterprises)